Chipotle (CMG) FP&A Memo: FY2025 Variance Review and 2026–2027 Forecast

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Executive summary

Chipotle's FY2025 revenue of $11.93 billion came in $828 million (6.5%) below a budget I built from management's February 2025 guidance, and almost the entire gap came from lower sales per restaurant, not slower expansion. Chipotle opened 334 restaurants against 330 planned, but comparable restaurant sales fell 1.7% against the +4.0% the budget assumed.

Operating margin held at 16.2% versus 16.5% budgeted, and net income of $1.54 billion missed by $70 million (4.3%). In my Base case, revenue reaches $12.92 billion in 2026 and $14.38 billion in 2027, with net income of $1.57 billion and $1.75 billion, driven by about 8% annual unit growth and a return to +3% comparable sales in 2027.

Key findings

1. The revenue miss was a sales-per-restaurant problem, not a development problem. Volume (more restaurants than planned) added $7 million; lower revenue per restaurant took away $835 million.

FY2025 revenue bridge	$ millions
Budgeted revenue	12,753.6
Volume: 3,884 average restaurants vs 3,882 budgeted	+6.6
Comparable sales: −1.7% actual vs +4.0% budgeted	−699.4
Other per-restaurant effects (residual: new-restaurant ramp, mix, timing)	−135.3
Actual revenue	11,925.6

Figures may not add due to rounding. Revenue per average restaurant came in at $3.07 million against $3.29 million budgeted (−6.5%).

2. Margin held up relatively well. Operating income was $1,935.8 million versus $2,104.4 million budgeted (−$168.6 million, −8.0%). Operating margin landed at 16.2%, only 27 basis points below the 16.5% budget, so costs fell nearly in line with sales.

3. Net income missed by less than operating income. Net income was $1,535.8 million versus $1,605.3 million budgeted (−$69.6 million, −4.3%). The effective tax rate of 23.6% came in below the 26% budgeted, and interest income of $73.7 million beat the $65 million assumed.

4. Buybacks outran free cash flow. Chipotle repurchased $2.43 billion of stock in 2025 at an average of $42.54 per share, against $1.45 billion of free cash flow. Cash plus investments fell from $2.29 billion to $1.25 billion over the year.

2026–2027 forecast

In the Base case, 2026 is a flat-comps year (revenue +8.3%, net income +2.4%) and 2027 is the recovery year (revenue +11.3%, net income +11.4%). Operating margin eases to 15.9% in both years because Base cost ratios sit at or slightly above 2025 levels. One scenario switch in the model re-runs every driver below.

	Bear	Base	Bull
New openings, 2026 / 2027	300 / 310	345 / 360	380 / 400
Comparable sales, 2026 / 2027	−3% / 0%	0% / +3%	+3% / +5%
Cost ratios vs 2025	Higher	At or slightly above	Lower
Share repurchases per year	$1.0B	$1.3B	$1.5B
2026E revenue	$12.46B	$12.92B	$13.37B
2027E revenue	$13.30B	$14.38B	$15.30B
2026E net income	$1.28B	$1.57B	$1.81B
2027E net income	$1.37B	$1.75B	$2.07B
2027E ending restaurants	4,612	4,721	4,802
2027E ending cash	$593M	$612M	$715M

Assumptions and methodology

The model is a driver-based, fully linked income statement, balance sheet and cash flow statement: 2023–2025 actuals from Chipotle's FY2025 Form 10-K, 2026–2027 forecast. The balance sheet balances in every year and every scenario; buybacks are an input and cash is the balancing item.

- **Revenue** = average restaurants × revenue per average restaurant. Revenue per restaurant grows at the comparable-sales rate.
- **Openings:** Base 345 company-owned openings in 2026, consistent with February 2026 guidance of 350–370 openings including 10–15 international partner-operated restaurants. The 2027 figure of 360 is my assumption; 13 closures a year.
- **Comparable sales:** Base 0% in 2026, matching guidance of "about flat"; +3% in 2027 is my assumption.
- **Costs:** food, labor, occupancy, other operating costs and G&A as a % of revenue; pre-opening cost of $145K per opening; D&A at 3.0% of revenue; capex of $1.5M per new restaurant plus $290M a year for existing restaurants and corporate.

- **Tax and interest:** 25% tax rate, the midpoint of 2026 guidance (24–26% before discrete items); interest income at a 3.5% yield on beginning-of-year cash and investments.
- **Simplifications:** operating leases, investments and other long-term items held at 2025 levels; stock-based compensation held at the 2025 level; share count and EPS not modeled.
- **FY2025 budget:** 330 openings (midpoint of 315–345 guidance), +4.0% comparable sales (within "low to mid-single digit" guidance) and a 26% tax rate (midpoint of 25–27%). The 16.5% operating margin and $65M interest income are my assumptions.

Key risks and sensitivities

Comparable sales and cost ratios are the biggest swing factors; unit growth matters far less in the near term. All impacts below are against the Base case, with everything else held constant.

Risk	Impact
2027 comparable sales of 0% instead of +3%	2027 revenue −$419M, net income −$52M
Food or labor costs 50 bps higher as a % of revenue	Net income about −$48M in 2026 and −$54M in 2027
Buybacks held at $1.3B a year	Absorb about 99% of 2026 free cash flow ($1.32B); cash ends 2026 at $370M, leaving little room if comps disappoint

Sources

- Chipotle Mexican Grill FY2025 Form 10-K (fiscal year ended December 31, 2025)
- Chipotle fourth quarter and full year 2025 results and 2026 outlook (February 3, 2026)
- Chipotle 2025 outlook, Form 8-K exhibit 99.1 (February 4, 2025)

An independent analysis using public information only, not investment advice. Fiscal years match calendar years; forecasts and the FY2025 budget are my own estimates.